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What Are the U.S.'s Latest Allegations Against India?

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Why has the U.S. accused India of violating what it considers fair trade practices? How many countries have been named in The Great Transshipment Scam? What do these allegations mean for India? Can they impact India's growth story?

T.C.A. Sharad Raghavan

The story so far:

Last week, the U.S. accused India of violating what it considers fair trade practices. The White House published a report titled 'The Great Transshipment Scam' in which it accused about 40 countries, including India, of helping China evade U.S. tariffs.

What is the Great Transshipment Scam?

Over the last nearly three decades, the U.S. and Chinese economies have become deeply intertwined, with the U.S. increasingly relying on China to be its manufacturing hub, and China relying on the U.S. as its market and for investments. This is a somewhat simplistic assessment of their engagement, but it is also the most relevant for the current context.

This relationship has resulted in the U.S. running huge trade deficits with China. That is, importing much more from the country than it exports to it. U.S. President Donald Trump has for long spoken about his concerns with vast trade deficits; it is primarily why he insisted on levying tariffs on U.S. trade partners during his second term.

However, China began facing such actions during Mr. Trump's first term itself. In 2018, the U.S. imposed tariffs ranging from 7.5% to 100% on goods from China such as electric vehicles, semiconductors, and medical products under Section 301 of the Trade Act of 1974, for unfair trade and tech practices. As per the White

The U.S. has alleged that more than 40 countries are regions are importing Chinese goods, modifying them, and exporting them to the U.S. at tariffs below what they would have faced had they directly been exported from China.

House report, this resulted in a shrinking of the U.S.'s trade deficit with China in 2019 and 2020. On July 26, 2025, the U.S. added a further 12.5% tariff for gaps in forced-labour compliance and the lack of comprehensive legal import prohibitions.

According to the report, since 2018, Chinese exporters have increasingly been routing goods through third countries to evade tariffs. "Products that previously moved directly from China to the United States were shipped through jurisdictions where limited assembly, finishing, repackaging, relabeling, or documentation changes could create the appearance of a different national origin," the report stated.

What is India's involvement?

The White House has identified more than 40 countries associated with "elevated illegal transshipment risk", with India among the top "enablers" of China's evasion of tariffs. The other countries/regions named as the top enablers are Mexico, Canada, the European Union, Japan, and South Korea.

The U.S. has alleged that these countries are importing Chinese goods, modifying them marginally, and exporting them to the U.S. at tariffs below what these goods would have faced had they directly been exported from China. This, the report said, has led to significant revenue loss for the U.S. government.

The Office of Trade and Economic Analysis estimates that approximately \$67 billion in U.S.-bound goods were transshipped from China through the top hubs - Mexico, India, and Vietnam - in 2025, producing an estimated \$28 billion in lost tariff revenue, the report said.

As an example, the report mentioned the Pune-Gujarat-Chennai production belt, saying that the region "absorbs" pumps and compressors from China, thereby affecting industrial supply chains in Cincinnati, Dayton, and Columbus in the U.S.

What does this mean for the U.S.?

Broadly, the report's findings suggest that the U.S.'s tariff policy has failed to reduce U.S. imports and increase domestic production. While U.S. imports from China fell from \$525.8 billion in 2017 to \$332.7 billion in 2025, total U.S. imports from all countries rose sharply from \$2.41 trillion to \$3.50 trillion. In short, the U.S. replaced many Chinese finished goods with imports from other countries rather than with domestically produced goods.

As Ajay Srivastava, founder of the think tank

Global Trade Research Initiative, said, "Mr. Trump's tariffs changed the source of imports but failed to reduce America's overall dependence on imported goods".

What are the implications for India?

This is yet another way that the U.S. is finding fault with India's trade policies. During his first term, Mr. Trump found fault with India's tariffs on luxury motorcycles, after which India reduced them.

Last year, he blamed India for financing Russia's war with Ukraine by importing Russian oil, his government hiked tariffs on imports from India to 50% as a penalty.

More recently, the U.S. Senate passed a Bill with Mr. Trump's backing that would result in tariffs of up to 100% being levied on India for its Russian oil imports. The Bill is waiting to be introduced and passed in the House of Representatives.

Apart from this, the U.S. has also imposed a 10% tariff on imports from India as a penalty for not doing enough to curb the import of goods made using forced labour. Another investigation on excess capacity is ongoing, which could potentially see tariffs being hiked even further.

The latest allegations that India is helping China evade tariffs are not accompanied by penal actions yet, but that possibility remains. Mr. Trump could decide to impose further tariffs on countries he deems are helping China in this regard.

How could India's economy be impacted?

For India, any penal action would be a blow to its growth story. Over the last few years, rather than predominantly importing Chinese finished goods, India has been importing raw materials and intermediate goods, using them to manufacture finished goods within the country, and then exporting them.

For example, electronic components made up 3.3% of India's imports from China in the first quarter of 2015-16. This has grown to nearly 15% as of the first quarter of 2025-27. Several other goods used in manufacturing in India, such as electric machinery, chemicals, plastics, have seen their shares rise over the same period.

On the other hand, the share of finished goods such as telecom instruments have fallen from about 18% to 1% over the same period of time. Similarly, the share of manufactured fertilizers have fallen from about 7.5% in 2015 to less than 1% in 2026. The share of consumer electronics in imports from China have halved over the same period.

The 'Make in India, For the World' story still relies heavily on inputs from China. If India is forced to curb those imports, its manufacturing costs will rise, making Indian products less competitive globally.



U.S. President Donald Trump and Chinese President Xi Jinping during a state dinner at the Great Hall of the People in Beijing. AP

What Are the U.S.'s Latest Allegations Against India?

- **The Allegation**

- The US accused India of violating fair trade practices, publishing a White House report, 'The Great Transshipment Scam', accusing about 40 countries, including India, of helping China evade US tariffs.
- Since 2018, Chinese exporters have increasingly routed goods through third countries limited assembly, repackaging, or relabeling can create the appearance of a different national origin to escape tariffs.

- **What This Means for the US and India**

- The findings suggest US tariff policy has failed to cut US imports or boost domestic production, the US mainly replaced Chinese finished goods with imports from other countries, not domestic output.
- For India, this follows earlier disputes over motorcycle tariffs and a 50% penalty over Russian oil imports; the US has also added a 10% forced-labour tariff and a further 12.5% tariff in July 2026.

- **The Economic Stakes for India**

- India increasingly imports raw materials and intermediate goods from China to manufacture and export finished goods, electronic component imports from China rose from 3.3% to nearly 13% of total imports (2015-16 to 2026-27).

India and Mauritius Sign Five-Year Fuel Supply Pact

India and Mauritius sign five-year fuel supply pact

New Delhi: India and Mauritius have deepened their energy partnership with a five-year agreement under which Indian Oil Corporation (IOC) will supply the island nation's entire import requirement of petrol, diesel and aviation turbine fuel, strengthening New Delhi's role as a key energy-security partner in the Indian Ocean.

The agreement was exchanged during Petroleum Minister Hardeep Singh Puri's official visit to Mauritius on August 20-21, alongside a government-to-government memorandum of understanding (MoU) to expand cooperation in oil and gas, including petroleum product supplies, training and capacity building, and biofuels. The

long-term sales and purchase agreement between IOC and Mauritius' State Trading Corporation is designed to provide Mauritius with assured supplies and reduce its exposure to price volatility, an official statement said. This, it said, was the first long-term supply agreement by an Indian public-sector oil marketing company outside South Asia in recent years. Under the pact, "IOC will supply the entire import requirement of Mauritius of motor spirit (petrol), high speed diesel (diesel) and aviation turbine fuel (ATF)." Separately, IOC said the 27,500 tonne bunker fuel storage facility at MAP Land in Mer Rouge, Mauritius has been built at an investment of \$25 million. PTI

India and Mauritius Sign Five-Year Fuel Supply Pact

Mauritius

It is part of the Mascarene islands, a group of islands created by volcanic activity in the Indian Ocean.

The capital city is Port Louis.

More than half of the land is arable, predominantly used for sugarcane cultivation, which is the nation's major export crop.

Chagos Island and Diego Garcia are part of Mauritius

Agalega Islands also belong to the Mauritius



India and Mauritius Sign Five-Year Fuel Supply Pact

- **The Agreement**

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Unemployment Is Not About Just Education

Unemployment is not about just education



PULAPRI BALAKRISHNAN

THE network presents that followed the logic of the NERF paper, evidence that demanded more than just a star examination system. They had highlighted the poor quality of higher education and the challenge of youth unemployment. While the youth are right to perceive the education system as a pipe for their reforms, it would be appropriate not to underestimate all of current unemployment to poor education. Two strands of evidence suggest this. First, unemployment in countries with the superior education system is higher than in India today – Finland and Sweden being two examples. Within India, there is Kerala, which has a better educated workforce but still has a high youth unemployment rate. Second, Indian educational qualifications and skills are scarce in India, the real wage of skilled workers must be, but we see little of that happening currently. Even in India's IT sector, apart from those with AI-related competency or working in a Global Capability Centre or in a multinational, wage growth for the remaining employees are not particularly high. This limit to say that education and skills do not matter. They matter for productivity. Economy, though, is related to aggregate demand for goods. The demand for labour is derived demand, it exists due to a demand for goods.

Everything points to a slowing of aggregate demand growth in India over the last decade. Seven out of the 11 sectors in the 11 that showed a disengagement of national income showed a slower wage rate than before, and only one grew faster. The sector that grew faster was real estate, which is neither large nor employing many. With such a comprehensive slowdown in the economy, it is difficult to see how the demand for labour would have increased. But why did the economy slow? Both short-term and long-term factors are responsible. There is a lot of evidence to show that the trigger was the demonetisation of 2016. Growth, down annually over the next three years before output actually contracted in 2020-21, due to COVID. As expected, the economy rebounded after the lockdown, but that could not prevent a decline in the average growth rate.

There are two long-term factors. The first is the slowdown in capital formation – or investment – from 2008-09. The slowdown in public investment. The pace of private investment has been constant, despite the Modi government being the most business-friendly since the country has ever seen. Among other reasons, it had not the corporations are not significantly in terms particularly for new companies. Yet, private investment has not picked up. An explanation would take into the second long-term factor, namely, the rising price of food. Having remained steady during a phase of India's high growth in the early 2000s, the real price of food, that is, price of food relative to that of all goods, began to rise. It has risen by 50 per cent since 2006-07. Globally, countries become richer, and food becomes more expensive – is immediately understood, in consequence for growth, and therefore for employment, is not. As the price of food rises, unless wages rise, households are poorer and demand less of other goods. Industrial firms are now left with excess capacity, leading them to postpone investment. This explains the unchanged pace of private investment, even as foreign investments.

There is evidence that the real wage in India has stagnated for the past several years for newly educated, and that real earnings have declined for regular workers and the self-employed. So, consumption expectations, which represent demand, have been impacted. As firms observe the slow growth of the market for their goods, they have likely become pessimistic about their prospects for future growth. It explains the unchanged growth rate of private investment. Public investment can at least make up for the unchanged pace of private investment, but for this to work, the government must choose projects wisely. The Modi government shows a marked preference for big infrastructure, highways and airports, but it is not clear how much they are spent on production, such as electricity, sewerage and transportation, that may be expected to yield greater returns in terms of employment generation.

Only when the employment crisis in India becomes a single issue, should the necessary corrective action be taken. While much needs to be done for the better education, public policy must also to keep India's aggregate demand for goods high.

Balakrishnan is the author of India's economy from Nehru to Modi. A former banker.

Unemployment Is Not About Just Education

- **The Argument**

- Following NEET-paper-leak protests, the author argues it's wrong to attribute all unemployment to poor education: countries with superior education (Finland, Sweden) have higher unemployment than India, and Kerala, better-educated, still has high youth unemployment.
- If skills were genuinely scarce, skilled workers' wages should be rising but there is little evidence of this, even in sectors like IT, apart from AI-related roles.

- **The Real Driver : Aggregate Demand**

- Everything points to a decade-long slowdown in aggregate demand growth in India

- **Two Long-Term Factors**

- First, a slowdown in capital formation, concentrated in public investment; private investment has stayed flat despite the corporate tax cut in 2019, particularly for new companies.
- Second, the real price of food has risen 53% since 2008-09 after staying flat during the 2000s boom squeezing real wages of rural and self-employed workers and depressing household consumption (demand).

- **The Way Forward**

- Public investment could partly compensate for weak private investment, but the government must choose projects wisely infrastructure more closely aligned to production (roads, electricity, sewerage) may yield greater employment returns than big-ticket highways and airports alone.

What Did Trump Say About India's Voting System?

What did Trump say about India's voting system?

Why is the President pushing for stricter voter ID rules in the US? How are elections conducted in the U.S. and how are they different from those in India? What is the SAVE America Act? What do Americans think about the requirement of a photo ID?

Srinivasan Ramani

The story so far:

U.S. President Donald Trump posted on his social media platform, Truth Social, that India's Chief Election Commissioner Gyanesh Kumar had asked his administration how elections are held in the U.S. without a valid photo identity card. He also pointed out that just 1% of India's 64.64 crore electors who voted in the last general elections voted by mail (unlike the large number who do so in the U.S.). Mr. Trump reiterated his demand that Congress pass the **Safeguard American Voter Eligibility (SAVE America) Act**, which would require documentary proof of citizenship to register to vote in federal elections and a photo ID to cast a ballot, among other restrictions.

How are elections conducted in the U.S. and how do they differ from elections in India? Article 1, Section 4 of the U.S. Constitution (the Elections Clause) empowers the State legislatures to determine the "times, places, and manner" of federal elections even as it allows Congress to alter or make such regulations. There is no national election authority like the Election Commission of India. There is only empowered to regulate campaign finance as registration, balloting, and counting are done by

The Bipartisan Policy Center in the U.S. estimates that over 20 million eligible American citizens do not have ready access to a passport or a birth certificate. Newly registering young adults have also faced problems producing these documents

the States' county and municipal jurisdictions. This is due to the strongly federal nature of the U.S., unlike India's quasi-federal system.

The U.S. Congress also passed the National Voter Registration Act, 1993, which required States to offer voter registration at motor vehicle and public assistance offices, and the Help America Vote Act, 2002, which provided funding for States to buy new voting machines and called for State-wide elector databases.

Voter eligibility in the U.S. is therefore a State concern, and registration is elector-initiated. While documentary proof of citizenship is not demanded, a potential elector has to affirm citizenship under penalty of perjury on the registration form. Thirty-six States ask for some form of identification at the polling place and 23 ask for a photo ID.

This is unlike India, where electoral rolls are compiled in each State via house-to-house enumeration conducted by the ECI, which has superintendence over the whole process of registration. Eligible electors are then issued the **Electoral Photo Identity Card (EPIC)**, though other documents, including Aadhaar, can be used as identification at the booth as well.

Is non-citizen voting a real problem in the U.S. as Mr. Trump has made it out to be? Independent studies have found that almost all non-citizen registrations in the U.S. are accidental and only a small proportion of them votes. The Trump administration's claims have not survived scrutiny. *The New York Times* reported that after announcing in July that it had identified 2,78,000 non-citizens on the rolls of four States, including 15,903 in Nevada, the Department of Homeland Security told Nevada's election administrators this month that it had identified just 185 potential non-citizens so far. It described the earlier figure as a "ceiling" and shared a list without names.

Surveys show that a large majority of the electorate supports the requirement of photo identification at the polls. Yet, even this is short of the more onerous requirement of proving citizenship at the point of registration, which is what the SAVE America Act requires.

What is the SAVE America Act, and why is it opposed by Democrats and others? The SAVE America Act was passed by the U.S.

House of Representatives in February along party lines, with Republicans outnumbering Democrats. It requires every new registering elector or an existing elector who wants to update his/her record to produce a passport, or a birth certificate, or naturalisation papers along with a government photo ID. Mail-in voters – a widely used option in the U.S. – have to enclose a copy of their photo ID. States will then run names on electoral rolls through the U.S. Department of Homeland Security and the latter could flag non-citizens for removal. Election officials who register people who lack the documents can face up to five years in prison.

The Bipartisan Policy Center in the U.S. estimates that over 20 million eligible American citizens do not have ready access to a passport or a birth certificate. Newly registering young adults have also faced problems producing these documents. These concerns have led the Democratic Party to oppose the SAVE America Act, which has stalled in the Senate.

Is India's Special Intensive Revision (SIR) process delivering the "pure" rolls that the ECI promises?

The SIR, launched by the ECI to "purify" the electoral rolls, uses a peculiar methodology in which electors must self-enumerate on forms distributed door-to-door by the ECI before being included in the draft roll. After scrutiny by election officials, who will compare the forms with the previous SIR conducted more than two decades ago in the States, the draft rolls will be updated (the corrections and clarifications phase) before new SIR rolls are released.

The three phases of the SIR conducted by the ECI have been beset by anomalies in each State. By phase 2 of the SIR, for instance, more than 7 crore names were deleted during the process. The issues with the SIR are reflected in the drastic fall in gender ratio in the new rolls across most States. In West Bengal, in particular, an analysis published in *The Hindu* showed that there has been a religious skew in the deletions as well, which mattered in the way the election results panned out in the State. Despite these infirmities and anomalies, the Supreme Court held that the exercise was well within the ECI's statutory mandate.

The SIR in India has shifted the onus of verifying voter eligibility onto electors, unlike the earlier process in which election officials prepared the rolls by identifying and enrolling eligible citizens through house-to-house surveys. Opponents of the SAVE America Act have raised a similar concern about the Trump administration-backed legislation.



Attendees hold signs advocating for voting rights and against the SAVE America Act at a rally outside the U.S. Capitol in March in Washington, DC. AP

What Did Trump Say About India's Voting System?

- **Power to Regulate**

- Article I, Section 4 of the U.S. Constitution (the Elections Clause) gives State legislatures authority over the “times, places, and manner” of federal elections, while allowing Congress to alter such rules.
- Unlike India, the U.S. has no national election authority, the Federal Election Commission only regulates campaign finance, while registration, balloting, and counting are handled by county and municipal jurisdictions.

- **Voter Registration**

- Voter eligibility remains a State subject, and registration is elector-initiated and citizenship is self-affirmed under penalty of perjury rather than documented upfront. India’s system works differently. The Election Commission of India (ECI) compiles electoral rolls through house-to-house enumeration and has superintendence over the entire registration process. Eligible electors receive an Electoral Photo Identity Card (EPIC), though other documents like Aadhaar are also accepted at polling booths.

SAVE Act : The Safeguard American Voter Eligibility (SAVE America) Act is proposed U.S. legislation aimed at tightening voter registration and identification requirements for federal elections.

Canada Vows Retaliatory Move as US Puts 50% Tariffs on Some Goods

Canada vows retaliatory move as US puts 50% tariffs on some goods

New US tariffs to cover about \$20 bn of Canada exports

Reuters
Washington, Ottawa,
August 22

CANADA WILL impose tariffs on imports from the United States starting September 8, Prime Minister Mark Carney said on Saturday, retaliating against President Donald Trump's new 50% tariffs after the two longstanding allies failed to reach a trade deal.

The new US tariffs took effect just after midnight on about \$20 billion of Canadian goods, including wine, furniture, dairy products, cement, clothing, fishing rods and hockey equipment.

They cover just over 5% of Canada's exports to the United States and do not qualify for preferential treatment under the US-Mexico-Canada free trade agreement.

"Canada will match Washington's new tariffs dollar for dollar in order to protect Canadian workers, farmers, families, and



Canadian Prime Minister Mark Carney during a press conference after he suspended trade negotiations with the United States, in Ottawa, on Saturday. REUTERS

businesses," Carney said at a news conference.

Canada's tariffs will target US sectors including steel, dairy, appliances, agricultural equipment, pulp and paper and electronics, along with some sectors the US previously targeted in Canada. The government will release details over the next several days, Carney said.

"We cannot accept what they have offered, and we will not give what they have asked,"

Carney said.

After days of intense negotiations, the two countries failed to reach a deal late Friday, worsening a delicate relationship between the long-term trade partners and complicating the future of the continental free trade pact.

Carney said the US administration's last-minute demands halted progress.

"In recent days, the US proposed new terms that were un-

economic, unfair, and undermined the net benefits to Canada, calling into question the reliability of any deal," he said, adding that the demands included curtailing Canada's ability to forge new trade deals.

Carney had earlier said he suspended trade negotiations and directed Canada's negotiators to return to Ottawa. He also said Canada would announce support measures next week for industries hit by the

“Canada will match Washington's new tariffs dollar for dollar in order to protect Canadian workers, farmers, families, and businesses. We cannot accept what they (US) have offered & we will not give what they asked”

MARK CARNEY,
PRIME MINISTER OF CANADA

new US duties.

Hours before the talks collapsed, the two sides had appeared close to an agreement that sources said would have lowered tariffs on steel, aluminum and autos and potentially brought American alcohol back to Canadian liquor stores.

"Tonight, Canada declined to finalize the trade deal under the terms agreed earlier this week," US Trade Representative Jamieson Greer said during a White House briefing.

Canada Vows Retaliatory Move as US Puts 50% Tariffs on Some Goods

- **The North American Free Trade Agreement (NAFTA) was signed on 17 December 1992 by the United States, Canada, and Mexico, and came into effect on 1 January 1994. It created a trilateral free trade zone in North America, aimed at fostering economic integration across the three countries. In 2020 it was replaced by USMCA (United States Mexico Canada Agreement)**